IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - II, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Composite Scheme of Amalgamation (Demerger and Amalgamation)*

CA(CAA)/10(CHE)/2023

CKR RETAIL PRIVATE LIMITED,
having its registered office at,
No.12, Cenotaph Road, Teynampet,
Chennai – 600 018.

... Applicant/Resultant Company

And

CA(CAA)/13(CHE)/2023

CK'S FOODS PRIVATE LIMITED,
having its registered office at,
No.12, Poonthamallee Road Ekkatuthangal,
Chennai – 600 032.

... Applicant/Demerged Company-2

And

CA(CAA)/14(CHE)/2023

CAVINKARE PRIVATE LIMITED,
having its registered office at,
No.12, Poonthamallee Road Ekkatuthangal,
Chennai – 600 032.

... Applicant/Demerged Company-1

And

CA(CAA)/15(CHE)/2023

CAVINKARE PRIVATE LIMITED,
having its registered office at,
No.12, Poonthamallee Road Ekkatuthangal,
Chennai – 600 032.

... Applicant/Demerged Company-1

Order Pronounced on ***08th June 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Mrs.Lakshmi Subramanian, PCS

ORDER

(Hearing conducted through VC)

***Per:* SANJIV JAIN, MEMBER (JUDICIAL)**

These applications have been filed by the Applicant Companies, namely, **CAVINKARE PRIVATE LIMITED** (for brevity "Demerged Company-1"), **CK'S FOODS PRIVATE LIMITED** (for brevity "Demerged Company-2"), **CKR RETAIL PRIVATE LIMITED** (for brevity "Resulting Company"), under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Composite Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also annexed along with the applications.

2. The Scheme provides for the Demerger of the Demerged Undertakings (defined in Part-1 of the Scheme) of the Demerged Company 1 & 2 into the Resulting Company.

3. The Applicant Companies in this Company Application have sought the following reliefs;

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
DEMERGED COMPANY-1	To dispense with the meeting	NA	To dispense with the meeting	To convene meeting
DEMERGED COMPANY-2	To dispense with the meeting	To dispense with the meeting	To dispense with the meeting	To dispense with the meeting
RESULTING COMPANY	To dispense with the meeting	NA	To dispense with the meeting	To dispense with the meeting

4. Affidavits in support of the Application sworn for and on behalf of the Applicant Companies are listed hereunder: -

i) **Mr.Manuranjith Ranganathan** on behalf of **Resulting Company** in the capacity of Director and the respective Board Resolution dated 31.01.2023 is placed on record.

ii) **Mrs.Lakshmi Subramanian,** on behalf of **Demerged Company -1 & 2** in the capacity of the authorized signatory and the respective Board Resolutions dated 31.01.2023 is placed on record.

and it is also represented that the Registered offices of all the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and fall within the purview of Registrar of Companies, Chennai.

5. Demerged Company-1 is a private Limited company, incorporated under the provisions of Companies Act, 1956 on 22.03.1990. The Share Capital of the Transferor Company as on 30.11.2022 is as follows:

PARTICULARS	AMOUNT IN RS.
AUTHORISED CAPITAL	
4,78,50,000 Equity shares of Rs.10/- each	47,85,00,000
1,67,50,000 Preference shares of Rs.10/- each	16,75,00,000
TOTAL	**64,60,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL	
2,76,44,330 equity shares of Rs.10/- each.	27,64,43,300
TOTAL	**27,64,43,300**

MAIN OBJECTS OF THE DEMERGED COMPANY-1 IN BRIEF:

Manufacturing, selling, distributing and trading / marketing directly or through third party units, personal care products, Dairy products and food products under various brand names like "Chik", "Fairever", "Indica", "Spinz", "Nyle", "Chinni's", "Karthika", "Meera", "Cavin's", "Maa" and / or other brand names, in bulk, other packed form and has stock keeping units within and outside India, (referred as "FMCG business"). The complete details of the main objects are described in the Memorandum of Association placed along with the application.

6. The Demerged Company-2 is a private limited company incorporated under the provisions of Companies Act, 1956 on 15.11.1990. The Share Capital of the Transferor Company as on 30.11.2022 is as follows:

PARTICULARS	AMOUNT IN RS.
AUTHORISED CAPITAL	
5,400 Equity shares of Rs.100/- each	5,40,000
1,94,600 Preference shares of Rs.100/- each	1,94,60,000
TOTAL	**2,00,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL	
5,400 equity shares of Rs.100/- each.	5,40,000
1,94,600 – 9% Redeemable Cumulative Non-Convertible Preference Shares of Rs.100/- each	1,94,60,000
TOTAL	**2,00,00,000**

MAIN OBJECTS OF THE TRANSFEREE COMPANY IN BRIEF:

Engaged in the business of a retail chain of bakery business through various bakery outlets and trading business. The complete details of the main objects are described in the Memorandum of Association placed along with the application.

7. The Resulting Company-2 is a private limited company incorporated under the provisions of Companies Act, 2013 on 18.08.2022. The Share Capital of the Transferor Company as on 30.11.2022 is as follows:

PARTICULARS	AMOUNT IN RS.
AUTHORISED CAPITAL 1,50,000 Equity shares of Rs.10/- each	15,00,000
TOTAL	**15,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL 10,000 Equity shares of Rs.100/- each.	1,00,000
TOTAL	**1,00,000**

MAIN OBJECTS OF THE TRANSFEREE COMPANY IN BRIEF:

Engaged in the business of salon, bakery and veterinary business while also specializing in food and other retail activities. The complete details of the main objects are described in the Memorandum of Association placed along with the application.

8. All the Applicant companies have filed their respective Memoranda and Articles of Association inter alia delineating their object clauses. The Demerged Companies - 1&2 have filed their audited Financial Statements as on 31.03.2022 and the Provisional Financial Statement as on 30.11.2022. The Resulting Company has filed its provisional Financial Statement as on 30.11.2022.

9. The Board of Directors, of all the Applicants in the respective meetings held on 31.01.2023, have approved the proposed Scheme as contemplated above. Copies of resolutions passed thereon have been placed on record by the companies.

10. The Appointed date as specified in the Scheme is **01.04.2023,** or such other date as may be approved by this Tribunal.

11. The Statutory Auditors of all the Applicant Companies have certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

12. With respect to Demerged Company-1, it is submitted as under:

(i) There are **4** (Four) Equity Shareholders. List of shareholders to this effect is placed on record with the application. Consent by way of Affidavits given by all the Equity Shareholders is also placed on record. It has sought for dispensation of conducting meeting.

(ii) There are **2** (Two) Secured Creditors. The certificate issued by the Chartered Accountants to this effect has been filed with the application. Consent affidavit given by all the creditors are placed on record. It has for dispensation with holding of meeting.

(iii) There are **1331** (One Thousand Three Hundred and Thirty-one) Unsecured Creditors. The certificate issued by the Chartered Accountants to this effect has been filed with the application. It has sought directions for conducting meeting.

13. With respect to Demerged Company-2, it is submitted as under:

(i) There are **2** (Two) Equity Shareholders. List of shareholders to this effect is placed on record with the application. Consents by way of Affidavits given by all the Equity Shareholders is also placed on record. It has sought for dispensation of conducting meeting.

(ii) There are **2** (Two) Preference Shareholders. List of shareholders to this effect is placed on record with the application. Consent by way of Affidavits given by all the Preference Shareholders is also placed on record. It has sought for dispensation of conducting meeting.

(iii) There are **2** (Two) Secured Creditors. The certificate issued by the Chartered Accountants to this effect is filed with the application. Consent affidavit given by all the secured creditors are placed on record. It has sought for dispensation of conducting meeting.

(iv) There are **187** (One Hundred and Eighty-Seven) Unsecured Creditors. Certificate issued by the Chartered Accountants to this effect has been filed with the application. Consent by way of Affidavit given by **96%** of the Unsecured Creditors in value is also placed on record. It has sought for dispensation of conducting meeting.

14. With respect to Resulting Company, it is submitted as under:

(i) There are **3** (Three) Equity Shareholders. List of shareholders to this effect is placed on record with the application. Consents by way of Affidavits given by all the Equity Shareholders is also placed on record. It has sought for dispensation of conducting meeting.

(ii) There is **NIL** Secured Creditor. The certificate issued by the Chartered Accountant to this effect is placed along with the application. Hence the necessity of the meeting does not arise.

(iii) There is **NIL** Unsecured Creditor. The certificate issued by the Chartered Accountant to this effect is placed along with the application. Hence the necessity of the meeting does not arise.

15. Taking into consideration of the submissions and the documents on record this Tribunal issues the following directions: -

A) IN RELATION TO DEMERGED COMPANY-1:

(i) **With respect to Equity shareholders:**

Since, it is represented that there are 4 (Four) Equity Shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(ii) **With respect to Secured Creditors:**

Since, it is represented that there are 2 (Two) Secured Creditors in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(iii) **With respect to Unsecured Creditors:**

Since it is represented that there are **1331** (One Thousand Three Hundred and Thirty-one) Unsecured Creditors in the Company. As prayed in the application a meeting of the

unsecured creditor of the Demerged Company-1 is directed to be held at **10.00 AM** on **28.07.2023** at the registered office of the Demerged Company-1 or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notice.

B) IN RELATION TO DEMERGED COMPANY-2:

(i) **With respect to Equity Shareholders:**

Since it is represented that there are **2** (Two) Equity Shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(ii) **With respect to Preference Shareholders:**

Since it is represented that there are **2** (Two) Preference Shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(iii) **With respect to Secured Creditors:**

Since, it is represented that there are 2 (Two) Secured Creditors in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(iv) **With respect to Unsecured Creditors:**

Since, it is represented by Transferee Company that there are **187** (One Hundred and Eighty-Seven) Unsecured Creditors in

the Company, consents of **96%** of the Unsecured Creditors in value have been obtained by way of affidavits and the same were placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

C) IN RELATION TO RESULTING COMPANY:

(i) **With respect to Equity Shareholders:**

Since it is represented that there are 3 (Three) Equity Shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, and hence the necessity of convening and holding a meeting is **dispensed with**.

(ii) **With respect to Secured Creditors:**

Since it is represented that there is **NIL** Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting **does not arise**.

(iii) **With respect to Unsecured Creditors:**

Since it is represented that there is **NIL** Unsecured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting **does not arise**.

16. The quorum for the meetings of the Demerged Company-1 shall be as follows;

COMPANY	CLASS	QUORUM
DEMERGED COMPANY-1	UNSECURED CREDITORS	150

i) The Chairperson appointed for the above said meeting shall be **Mr.Varadharajan,** (Mobile No. 9444166699**)** and would be entitled to fee of **Rs.50,000/-**.

ii) **Mr.G.Sudhir,** (Mobile No. 9445503208**)** and is appointed as a Scrutinizer would be entitled to fee of **Rs.30,000/-.** The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II); voting by proxy not allowed if the meetings are held through video conferencing.

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Financial Express*" (All India Edition), and "Makkal Kural" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme. Voting % of creditors as per list is to be decided after considering the amount of debt as on the date of voting, which is to be considered by the Chairperson.

viii) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for

the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

ix) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

x) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

17. The Applications stand **allowed** on the aforesaid terms and is disposed of.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)